
PROFESSIONAL TRADING PLAYBOOK

Gold Liquidity and Structure Trading Playbook

An actionable operating manual for bias, liquidity, entries, risk, execution, review, and disciplined trade management.

BEGINNER

INTERMEDIATE

EXPERT

Core focus: XAUUSD, GC futures, MGC futures, gold ETFs, and gold-related instruments. Always verify contract specifications, tick value, spread, margin, and broker rules before trading.

Educational framework only - not investment, financial, tax, or legal advice.

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1. Core Operating Principle

The goal is not to guess gold. The goal is to build a repeatable process that identifies context, liquidity, decision areas, execution triggers, and defined risk before any position is opened.

Operating Standard

A trade is valid only when five questions are answered: **What is the higher-timeframe bias?** Where is price likely drawing liquidity from? Is price trading at a meaningful level? Has a valid trigger appeared? Can the trade be managed with defined risk and clean invalidation?

The Five-Gate Trade Filter

Gate	What to Confirm	Execution Rule
1. Bias	Define the daily and 4H direction before moving to lower timeframes.	No clear bias means reduced size or no trade.
2. Liquidity	Identify where stops are likely resting: prior highs, lows, session extremes, and range edges.	Do not chase obvious stop runs without confirmation.
3. Level	Trade only from a meaningful zone: support, resistance, prior breakout, range edge, or news level.	No level means no trade.
4. Trigger	Wait for reclaim, rejection, retest, displacement, or lower-timeframe structure shift.	A touch of a line is not a trigger.
5. Risk	Know entry, stop, target, position size, invalidation, and management plan before entry.	If the stop is unclear, the trade is unclear.

Institutional-Style Mindset

- You are not paid for activity. You are paid for high-quality execution.
- The plan must define when to trade and when to stand aside.
- A missed trade is not a loss. A forced trade is a self-inflicted risk event.
- Every trade must be easy to explain in one sentence before entry.

2. Concept Lenses

Each concept below is framed through a beginner, intermediate, and expert lens. Use the beginner lens to define the idea, the intermediate lens to apply it, and the expert lens to refine execution quality.

Concept 1: Market Bias

Beginner Lens	Intermediate Lens	Expert Lens
Bias means direction. Is gold generally making higher highs and higher lows, or lower highs and lower lows?	Bias comes from daily and 4H structure, not one candle. Trade with the path of least resistance unless price reaches a major reversal zone.	Bias is conditional. Know the bullish case, bearish case, and invalidation point before entering. Bias can shift after a liquidity sweep, failed breakout, or macro catalyst.
Action Rule Only take longs when price is above key higher-timeframe support and reclaiming structure. Only take shorts when price is below key resistance or rejecting after a liquidity sweep.		

Concept 2: Key Levels

Beginner Lens	Intermediate Lens	Expert Lens
Mark obvious highs, lows, support, and resistance. These are areas where price has reacted before.	Separate major from minor levels. Major levels come from daily and 4H charts; minor levels come from 1H and 15M execution charts.	Treat levels as zones, not exact lines. The best trades often happen after price violates a level, traps traders, then reclaims or rejects it.
Action Rule Before trading, mark previous day high/low, weekly high/low, daily open, major swing high/low, and current range midpoint.		

Concept 3: Liquidity

Beginner Lens	Intermediate Lens	Expert Lens
Liquidity is where stop losses are likely sitting: above highs and below lows.	Price often runs stops before reversing. Do not chase the first breakout through an obvious level.	Liquidity runs are tradeable only when paired with displacement, failed continuation, or a reclaim. A sweep alone is not enough.
Action Rule If gold sweeps a prior high, do not buy immediately. Wait to see whether it holds above the high or fails back below it.		

Concept 4: Structure

Beginner Lens	Intermediate Lens	Expert Lens
Uptrend means higher highs and higher lows. Downtrend means lower highs and lower lows.	Structure shifts when price breaks a meaningful swing level, not every small intraday wick.	Use structure to determine whether you are trading continuation, reversal, or mean reversion. Each requires a different entry and target model.
Action Rule Do not trade reversal setups until price breaks the last meaningful lower high in a downtrend or the last meaningful higher low in an uptrend.		

Concept 5: Entry Timing

Beginner Lens	Intermediate Lens	Expert Lens
Wait for confirmation. Do not enter only because price touched a line.	Use a trigger candle, reclaim, retest, or lower-timeframe structure shift.	Enter only when invalidation is tight and logical. The best entries happen where the stop is obvious and small relative to the target.
Action Rule A valid entry must have level, trigger, stop location, target, and at least 2:1 reward-to-risk.		

Concept 6: Risk Management

Beginner Lens	Intermediate Lens	Expert Lens
Risk a fixed small amount per trade. Never trade without a stop.	Size positions based on stop distance, not emotion or conviction.	Adjust risk based on volatility, session, news risk, and trade quality. A+ trades get normal risk; B trades get reduced risk; C trades are skipped.
Action Rule Default risk is 0.25% to 1% per trade. Maximum daily loss is 2% or three consecutive losses, whichever comes first.		

Concept 7: Trade Management

Beginner Lens	Intermediate Lens	Expert Lens
Take partial profits and move stop only after price moves in your favor.	Manage around liquidity targets: previous highs, lows, imbalance zones, and session extremes.	Management should depend on trade type. Breakouts need room; reversals need faster de-risking; news trades need tighter control.
Action Rule At +1R, take partial profit or reduce risk. At +2R, trail behind structure or exit into the next liquidity pool.		

Concept 8: No-Trade Conditions

Beginner Lens	Intermediate Lens	Expert Lens
If the chart is messy, do nothing.	Avoid trading in the middle of a range unless there is a clean intraday setup.	No-trade zones protect edge. The ability to sit out is part of the strategy.
Action Rule No trade when price is between major levels, spread is abnormal, volatility is news-driven, or the stop is too wide to justify the target.		

Concept 9: Macro Awareness

Beginner Lens	Intermediate Lens	Expert Lens
Know when major news is coming out.	Gold can react strongly to USD, yields, inflation data, central bank commentary, geopolitical risk, and risk-off flows.	Trade the reaction, not your opinion of the news. The first move can be a trap; the second move often reveals real positioning.
Action Rule Do not open a new position within 5 to 10 minutes before major economic news. After news, wait for price to choose a side and reclaim or reject a key level.		

Concept 10: Psychology

Beginner Lens	Intermediate Lens	Expert Lens
Do not revenge trade. Do not double down after a loss.	Your job is to execute the plan, not to be right.	Emotional discipline comes from predefined scenarios. When you already know what you will do at each level, you reduce impulse decisions.
Action Rule After two emotional mistakes in one session, stop trading for the day.		

3. Daily Trading Gameplan

This section converts market analysis into a repeatable session plan. Complete it before trading and update it only when price materially changes structure.

Pre-Market Checklist

Market Context

- ☐ What is the daily trend?
- ☐ What is the 4H trend?
- ☐ Is price near support, resistance, or mid-range?
- ☐ Did price recently sweep a major high or low?
- ☐ Is there major USD, inflation, jobs, central bank, or geopolitical news today?

Key Levels

- ☐ Weekly high and weekly low
- ☐ Previous day high and previous day low
- ☐ Daily open
- ☐ Asia high and Asia low
- ☐ London high and London low
- ☐ Major 4H support and resistance
- ☐ Current intraday range midpoint

Bias Worksheet

Field	Plan
Bullish above	_____
Bearish below	_____
No-trade zone	_____
Primary long target	_____
Primary short target	_____
News times to avoid	_____
Max risk per trade	_____
Max daily loss	_____
Max trades today	_____

Daily Standard

The day is planned before the first trade. If price is not at a decision area, the professional action is patience.

4. Trading Playbook

The following setups are the only approved trade models in this playbook. Each setup has a purpose, best environment, entry criteria, stop logic, target model, and management plan.

Setup A: Trend Pullback Continuation

Purpose Trade with the existing trend after price pulls back into value.	
Best Environment - Daily and 4H trend aligned. - Price is making higher highs/higher lows for longs or lower highs/lower lows for shorts. - Pullback reaches support/resistance, a moving average zone, imbalance, or prior breakout level.	Stop and Targets Stop: Below the pullback low for longs. Above the pullback high for shorts. Targets: - Target 1: prior intraday high/low. - Target 2: previous day high/low. - Target 3: higher-timeframe liquidity pool.
Direction	Criteria
Long Criteria	1. Daily or 4H bias is bullish. 2. Price pulls back into prior support or a breakout zone. 3. Sellers fail to continue lower. 4. Price forms a bullish structure shift on 15M or 5M. 5. Entry occurs on reclaim, retest, or bullish displacement.
Short Criteria	1. Daily or 4H bias is bearish. 2. Price rallies into resistance or prior breakdown zone. 3. Buyers fail to continue higher. 4. Price forms a bearish structure shift on 15M or 5M. 5. Entry occurs on rejection, retest, or bearish displacement.

Management Rules

- At +1R, take partial profit or reduce risk.
- At +2R, trail behind structure.
- Exit if price returns to entry after failing to extend.

Setup B: Liquidity Sweep Reversal

Purpose Fade a false breakout after price runs stops and fails to hold the breakout level.

Best Environment

- Price sweeps an obvious high or low.
- The move happens into a major level.
- Breakout traders get trapped.
- Price quickly reclaims the prior range.

Stop and Targets

Stop: Outside the sweep extreme. Do not widen the stop if the reclaim fails.

Targets:

- Target 1: range midpoint.
- Target 2: opposite side of the range.
- Target 3: next higher-timeframe liquidity level.

Direction	Criteria
Long Criteria	1. Price runs below a previous low. 2. Candle closes back above that low. 3. Lower-timeframe structure turns bullish. 4. Entry occurs on retest of the failed breakdown zone. 5. Stop goes below the sweep low.
Short Criteria	1. Price runs above a previous high. 2. Candle closes back below that high. 3. Lower-timeframe structure turns bearish. 4. Entry occurs on retest of the failed breakout zone. 5. Stop goes above the sweep high.

Management Rules

- De-risk quickly. Failed-breakout trades should work fast.
- If price reclaims the swept level again against the position, exit.
- Do not treat every sweep as a reversal; require confirmation.

Setup C: Breakout and Retest

Purpose Trade expansion after price breaks a meaningful level and confirms continuation.

Best Environment

- Tight consolidation before breakout.
- Clear level being defended.
- Volume, momentum, or candle expansion appears.
- Retest holds after the break.

Stop and Targets

Stop: Below retest low for longs. Above retest high for shorts.

Targets:

- Measured move of the prior range.
- Next liquidity pool.
- Previous day/week high or low.

Direction	Criteria
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Long Criteria	1. Price consolidates below resistance. 2. Strong candle closes above resistance. 3. Pullback retests resistance as support. 4. Retest holds. 5. Enter on continuation trigger.
Short Criteria	1. Price consolidates above support. 2. Strong candle closes below support. 3. Pullback retests support as resistance. 4. Retest holds. 5. Enter on continuation trigger.

Management Rules

- Do not chase the initial breakout candle.
- If no retest appears, skip or wait for a new structure setup.
- If retest fails, no trade.

Setup D: Range Trade

Purpose	Trade from range extremes back toward midpoint or the opposite side of the range.
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Best Environment - Price is sideways. - No strong trend is present. - Clear range high and range low are visible. - False breakouts occur at extremes.	Stop and Targets Stop: Outside the sweep extreme. Targets: - Target 1: range midpoint. - Target 2: opposite side of range.
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Direction	Criteria
Long Criteria	1. Price reaches range low. 2. Sellers fail to break down. 3. Price sweeps below the low and reclaims. 4. Enter on reclaim or retest. 5. Target the midpoint first.
Short Criteria	1. Price reaches range high. 2. Buyers fail to break out. 3. Price sweeps above the high and rejects. 4. Enter on rejection or retest. 5. Target the midpoint first.

Management Rules

- Take profits faster than trend trades.
- Do not hold range trades expecting a major trend unless structure breaks.
- Avoid entries in the middle of the range.

Setup E: News Reaction Trade

Purpose

Trade after major news once direction becomes clear and spreads normalize.

Best Environment

- CPI, PPI, jobs data, central bank decision, major speech, geopolitical headline, or large USD/yield move.
- Initial spike creates liquidity on both sides.
- Price later reclaims or rejects a key level.

Stop and Targets

Stop: Beyond the news spike extreme. Never widen the stop because of volatility.

Targets:

- Target 1: post-news midpoint.
- Target 2: opposite post-news extreme.
- Target 3: next higher-timeframe liquidity level if trend continuation develops.

Direction	Criteria
Long Criteria	1. News spike down fails. 2. Price reclaims a pre-news level or post-news high. 3. Enter on retest after reclaim. 4. Use reduced size. 5. Stop is placed beyond the spike extreme.
Short Criteria	1. News spike up fails. 2. Price loses a pre-news level or post-news low. 3. Enter on retest after rejection. 4. Use reduced size. 5. Stop is placed beyond the spike extreme.

Management Rules

- No trade before the release.
- Wait for the first violent move to complete.
- Reduce position size.
- Take partials faster and stop trading if spreads are abnormal.

5. Trade Scoring and Risk Model

The scoring model prevents impulse entries. Only take trades that score 7/10 or higher. Scores below that are either watchlist ideas or no-trade conditions.

Criteria	Point
Higher-timeframe bias is clear	1
Price is at a meaningful level	1
Liquidity has been identified	1
Setup matches one of the playbook models	1
Entry trigger is confirmed	1
Stop is logical and not too wide	1
Reward-to-risk is at least 2:1	1
No major news risk immediately ahead	1
Spread and volatility are acceptable	1
You are emotionally neutral	1

Score	Grade	Action
9-10	A+ setup	Normal risk allowed.
7-8	Valid setup	Reduced or normal risk depending on volatility.
5-6	Watchlist only	Track the idea but do not enter.
0-4	No trade	Stand aside.

Default Risk Rules

Rule	Standard
Risk per trade	0.25% to 1% of account equity
Maximum daily loss	2% or three consecutive losses, whichever comes first
Maximum weekly loss	5%
Minimum reward-to-risk	2:1
Forbidden behavior	Averaging down, moving stops farther away, revenge entries, oversizing

Position Size Formula

Position size = account risk / stop distance.

Example: Account size = \$10,000. Risk = 0.5%. Dollar risk = \$50. If the stop distance is \$10 on gold, position size must be calibrated so that a \$10 move equals no more than \$50 of loss. Futures, CFDs, and forex gold each require instrument-specific conversion.

6. Session Framework

Gold behavior changes across sessions. Your job is to understand what the current session is most likely to produce and avoid applying the wrong setup to the wrong environment.

Session	Best For	Primary Job	Preferred Setups
Asia	Range formation, liquidity mapping, slower price action.	Identify Asia high and Asia low. Usually no trade unless a clean range setup appears.	Range trade or no trade.
London	Liquidity sweeps, early directional clues, false breakouts.	Watch whether London sweeps Asia high/low and reverses or expands.	Liquidity sweep reversal or breakout and retest.
New York	Strongest gold movement, macro reactions, continuation after London setup.	Trade around USD data, yields, equities, and prior session liquidity.	Trend continuation, news reaction, breakout retest, sweep reversal.

Session Execution Notes

- Do not force trades in Asia if the range is not mature.
- Use London to identify whether stops above or below Asia are being cleared.
- Treat New York macro data as a volatility event. Wait for the reaction and avoid guessing the release.
- If spread widens or price becomes erratic, reduce size or stand aside.

7. Bullish and Bearish Gameplans

Bullish Gameplan

Use the bullish plan when gold is trading above higher-timeframe support and structure is holding.

Component	Plan
Long Bias Conditions	Daily/4H structure makes higher highs and higher lows. Price holds above prior breakout levels. Pullbacks are shallow and bought quickly. Sweeps below support are reclaimed. Breakouts hold on retest.
Preferred Long Setups	Pullback into support. Sweep below prior low and reclaim. Breakout above resistance and retest. News spike down that fails and reverses higher.
Bullish Invalidation	Price loses the key support zone. Reclaim fails. 15M/1H structure turns bearish. Price cannot hold above breakout level. Macro news causes sustained USD/yield pressure.

Bearish Gameplan

Use the bearish plan when gold is trading below resistance or showing failed upside continuation.

Component	Plan
Short Bias Conditions	Daily/4H structure makes lower highs and lower lows. Price rejects major resistance. Breakouts above highs fail. Pullbacks upward are sold. Support breaks and becomes resistance.
Preferred Short Setups	Rally into resistance. Sweep above prior high and reject. Breakdown below support and retest. News spike up that fails and reverses lower.
Bearish Invalidation	Price reclaims resistance. Sweep high becomes support. 15M/1H structure turns bullish. Price breaks and holds above previous day high. News creates sustained safe-haven or momentum buying.

Directional Entry Checklist

Direction	Checklist
Long	Is price above major support? Did sellers fail? Did price reclaim a key level? Is there a clean stop below structure? Is there a clear upside liquidity target? Is reward-to-risk at least 2:1?
Short	Is price below major resistance? Did buyers fail? Did price reject or lose a key level? Is there a clean stop above structure? Is there a clear downside liquidity target? Is reward-to-risk at least 2:1?

8. Execution Templates

Use these templates to convert the playbook setups into exact trade plans. Every template must be completed before entry.

Template 1: Long Pullback

Field	Rule
Bias	Bullish
Level	Prior resistance turned support
Trigger	Bullish reclaim or 5M/15M structure shift
Entry	Retest of support
Stop	Below pullback low
Target 1	Intraday high
Target 2	Previous day high
Target 3	Weekly liquidity
Invalidation	Close below support

Template 2: Short Rejection

Field	Rule
Bias	Bearish or neutral at resistance
Level	Prior high, daily resistance, or range high
Trigger	Sweep and close back below level
Entry	Retest of failed breakout
Stop	Above sweep high
Target 1	Range midpoint
Target 2	Prior low
Target 3	Previous day low
Invalidation	Reclaim above sweep level

Template 3: Breakout Continuation

Field	Rule
Bias	Directional
Level	Clean resistance or support break
Trigger	Strong close beyond level
Entry	Retest holds
Stop	Other side of retest
Target 1	Measured move
Target 2	Next liquidity pool
Invalidation	Failed retest

Template 4: Post-News Reversal

Field	Rule
Bias	Wait-and-see
Level	Pre-news high/low or post-news range
Trigger	Spike fails and price reclaims opposite side
Entry	Retest after reclaim
Stop	Beyond spike extreme
Target 1	Post-news midpoint
Target 2	Opposite post-news extreme
Invalidation	Price returns into chop zone

9. No-Trade List and Decision Tree

The Do-Not-Trade List

- You cannot explain the setup in one sentence.
- You are entering because you feel price will move.
- You are chasing a large candle.
- You missed the entry and are forcing a late trade.
- Your stop is too wide for your account.
- You are trading immediately before major news.
- You already hit your daily loss limit.
- You are trying to win back money.
- Price is sitting in the middle of a range.
- Your chart has too many lines and no clear decision area.

Final Decision Tree

Step	Question	Action
1	Is price at a level?	No: do nothing. Yes: continue.
2	Is there liquidity nearby?	No: wait. Yes: continue.
3	Has price swept, reclaimed, rejected, or retested?	No: wait. Yes: continue.
4	Is the stop logical?	No: skip. Yes: continue.
5	Is reward-to-risk at least 2:1?	No: skip. Yes: continue.
6	Is there major news risk?	Yes: wait or reduce size. No: continue.
7	Is the setup in the playbook?	No: skip. Yes: execute.

Professional Edge

The edge is not predicting every move. The edge is waiting for gold to reach a decision area, confirming whether buyers or sellers are trapped, and executing with predefined risk.

10. Daily Routine and Weekly Review

Before Trading

- ☐ Check economic calendar.
- ☐ Mark higher-timeframe levels.
- ☐ Identify current bias.
- ☐ Mark liquidity pools.
- ☐ Define long plan, short plan, and no-trade zone.
- ☐ Set max risk and max number of trades.
- ☐ Write primary scenario.

During Trading

- ☐ Wait for price to reach your level.
- ☐ Wait for trigger.
- ☐ Calculate position size.
- ☐ Enter only if score is 7/10 or higher.
- ☐ Manage according to setup type.
- ☐ Log emotions and execution quality.

After Trading

- ☐ Screenshot entry and exit.
- ☐ Record setup type.
- ☐ Record planned risk and actual risk.
- ☐ Record mistake, if any.
- ☐ Grade the trade from A to F.
- ☐ Note whether you followed the plan.

Weekly Review Questions

- Which setup made the most money?
- Which setup lost the most money?
- Did I trade outside the plan?
- Did I overtrade?
- Did I respect max daily loss?
- Did I chase breakouts?
- Did I move stops?
- Was my position sizing consistent?
- Which session produced my best trades?
- What is one rule I must improve next week?

Weekly Performance Metrics

Use this page as the weekly scorecard. The goal is not to judge a single trade; the goal is to identify whether your process is improving over a meaningful sample.

Date	Session	Setup	Bias	Quality	R	Mistake/Lesson
_____	_____	_____	_____	A / B / C	_____	_____
_____	_____	_____	_____	A / B / C	_____	_____
_____	_____	_____	_____	A / B / C	_____	_____
_____	_____	_____	_____	A / B / C	_____	_____

Review Standard

Do not change the playbook after one trade. Review a full week of data and adjust only when the same mistake or opportunity appears repeatedly.

Metric	Target
Win rate	40%+ if average R is 2:1 or better
Average winner	Greater than average loser
Max daily loss respected	100%
Trades from playbook	90%+
Revenge trades	0
Stop moved farther away	0
Journal completion	100%

11. One-Page Operating Plan

Component	Standard
Strategy Name	Gold Liquidity and Structure Playbook
Instruments	XAUUSD, GC futures, MGC futures, gold ETFs, or gold-related instruments.
Timeframes	Bias: Daily/4H. Setup: 1H/15M. Entry: 15M/5M/1M only if experienced.
Setups Allowed	1. Trend pullback continuation 2. Liquidity sweep reversal 3. Breakout and retest 4. Range extreme trade 5. Post-news reaction trade
Risk Rules	0.25% to 1% per trade Max 2% daily loss Max three trades per session Minimum 2:1 reward-to-risk Stop required on every trade
Entry Requirements	Bias defined Key level reached Liquidity identified Trigger confirmed Risk calculated Target defined Trade score 7/10+
Exit Rules	Stop hit Target hit Structure invalidated Price fails to continue after trigger Daily risk limit reached
Psychology Rules	No revenge trades. No chasing. No averaging down. No widening stops. Stop after three losses. Stop after two emotional mistakes.

Execution Mantra

Plan the trade before price reaches the level. Execute only after the trigger. Manage the risk before managing the profit.

End of playbook.